

7.12 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Correction in instruments and institutions of government intervention to meet the objectives in better terms.
- 2) Reforms that primarily seek redistribution of income and wealth, and possibly consumption in favour of the disadvantaged sections of the society are equity-seeking ones while those that focus on improving growth performance through efficient use of resources are efficiency-seeking ones.
- 3) Neoliberal reforms are those reforms which attempt to make market work with less restrictions and withdrawal of State from activities which market could perform. Since political liberalism got historically associated with 'progressivism' which advocated restrictions on market and increased role of State, policy of relaxation of restrictions on market functioning was considered to be neoliberal.

Check Your Progress 2

- 1) Dominant view of the leaders of Independence was that Indians do deserve to have all comforts of the Western world. Since our limited export potential could not allow to import unrestricted amount of goods and gadgets, we decided on an industrialisation strategy which favoured produced substitutes of imported goods in home.
- 2) For a pretty long time, one needed a lot of licenses or permits to start and run an industrial enterprise. For purchase of scarce material, say steel or cement or sugar, one needed to have a permit. If one needed imported material needing foreign exchange, in addition to license or permit, one was assigned a quota. The regime was popularly called license, permit and quota raj in contrast to liberalisation, privatisation and globalisation one.
- 3) One was market-oriented Economic Reforms which were initiated in Communist China in 1978 under the leadership of Deng Xiaoping after the death of Mao Zedong in 1976. The other was enunciation of Glasnost and Perestroika in the erstwhile USSR under the leadership of Mikhail Gorbachev.

Check Your Progress 3

- 1) Invasion and occupation of Kuwait by Iraq in August 1990 and Iraq's refusal to vacate it led a wide scale War against it under the leadership of the US army in which 35 nations had participated. It swelled import bill and slumped exports, plummeting forex reserves.
- 2) As India's creditworthiness had come down, external commercial borrowings became difficult. Second, non-concessional loans from international agencies are still cheaper. Internally, also, there was a feeling that reforms are called for.
- 3) Government of India devalued rupee against foreign currencies, drastically modified the industrial policies, and made several taxation changes, and also set up several committees to make recommendations to the Government.

Check Your Progress 4

- 1) Despite introduction of several reforms, fiscal parameters such as revenue deficit and fiscal deficit were not reaching the desired levels whether at Union or State level. The Act was a kind of imposition of self-discipline.
- 2) Cash reserve ratio (CRR) keeps banks fairly liquid while statutory liquidity ratio (SLR) directs credit towards government by purchase of government bonds. Cash reserves with the Central Bank, do not normally earn interest to the bank while government bonds do. However, CRR checks the credit creating activity and SLR crowds out finance for private sector.
- 3) As of now, rupee is convertible into foreign currencies on the basis of market forces. However, it is not normally convertible on capital account.

Check Your Progress 5

- 1) Liberalisation means relaxation in restrictions while laissez faire means absence of restrictions.
- 2) Divestment or dilution of government ownership in a public sector enterprise. Proceeds accrue to government as non-debt creating capital receipt.
- 3) When residents (including companies) of an economy are free to produce anywhere or consume anywhere or products of anywhere, an economy is said to be globalised. It amounts to freedom to trade and freedom to investment; in practical terms, it means lessening of restrictions on imports/exports and investment. Movement of labour is not articulated at the same level.

Check Your Progress 6

- 1) First generation reforms are usually reckoned with those that can easily accomplished through executive orders, with minimal legislative requirement while second generation reforms need political sanction through legislation.
- 2) Bringing informal segments of an economy, including jobs, into formal contact with the government through any channel.

UNIT 8 MAJOR DEVELOPMENTS IN POST ECONOMIC REFORM PERIOD

Structure

- 8.0 Objectives
- 8.1 Introduction
- 8.2 Privatisation and Restructuring of Public Sector
- 8.3 Difference between Disinvestment Privatisation
 - 8.3.1 Forms of Privatisation
- 8.4 Need for Privatisation
- 8.5 Disinvestment in India
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- 8.7 Conditions Required for Success of Privatisation Policy
- 8.8 Public Private Partnership (PPP)
- 8.9 PPP Models in India
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- 8.11 Insolvency and Bankruptcy Code (IBC)
- 8.12 Concept and Importance of IBC
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- 8.17 Answers or Hints to Check Your Progress Exercises

8.0 OBJECTIVES

Having gone through this unit, you will be able to:

- explain the concept of privatisation;
- distinguish between disinvestment and privatisation;
- analyse the hurdles in the way of restructuring of public sector undertakings;
- highlight the pros and cons of public private partnership;
- narrate the suitability of public private partnership;
- discuss the need for insolvency and bankruptcy code (IBC); and
- point out the problems and performances of IBC.